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AVENUE SUPERMARTS

► **RANK 2022/2021** 18/18

► **AVERAGE MARKET CAP***
₹2,73,773 crore (39.9%)

► **TOTAL INCOME**
₹31,093.8 crore (27.8%)

► **PAT** ₹1,492.4 crore (35.7%)

► **ROE** 11.6%

► **TTM P/E MULTIPLE** 117

*FROM OCTOBER 1, 2021, TO SEPTEMBER 30, 2022; TOTAL INCOME, PAT AND ROE FOR FY22; P/E MULTIPLE AS OF NOVEMBER 7, 2022; TTM: TRAILING 12 MONTHS; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YOY; RESULTS ARE ON A CONSOLIDATED BASIS

SOURCE ACE EQUITY

LOCATION, LOCATION, LOCATION. It's not just hoteliers and real estate agents who harp on this as the most important aspect of their business. Retailers, too, say much the same thing. Pick the right location for a store, and half the battle is won. Or is it?

The fact is, choosing the right location for a store is an art and science in itself. And as you go deeper into the other aspects of the retail business, you realise that location is not the only thing that a retailer needs to get right. Other components include understanding areas such as consumer trends, spending patterns, population density, competition, supply chain, and above all coming to terms with an operations-intensive business. And in India, this is just half the story.

Consider the country's demographic spread across a very complex terrain. Their

needs are catered to by 11 million neighbourhood stores. The Indian consumer is not just aspirational but discerning as well. From a larger business point of view, retail is all about low margins and that is the single, biggest challenge to overcome.

Standing tall in this extremely complex story is Radhakishan Damani, one of India's most astute investors and his Avenue Supermarts, which owns the DMart hypermarket chain of stores, and is at No. 18 on the BT500 list for 2022. Since the time the company rolled out its first store in Mumbai's Powai area in 2002, its footprint has grown to 302 outlets across 18 cities. It had 131 stores at the end of FY17. With a model that is unique, effective and relentless on execution, the company is the toast of its investors—Avenue Supermarts saw its average market capitalisation surge nearly 40 per cent